CCI India

Growing Prosperity, One Cup at a Time



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DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



MESSAGE

The tea industry is one of the cornerstones of India's agricultural economy, contributing significantly to employment generation, rural livelihoods, exports, and sustainable economic development. Renowned globally for its rich diversity and exceptional quality, Indian tea represents not only a vital agricultural commodity but also an integral part of the nation's cultural heritage and global identity. As consumer preferences evolve and international markets become increasingly competitive, the industry must embrace innovation, sustainability, value addition, and stronger market linkages to ensure long-term growth and resilience.

The Chamber of Commerce and Industries of India (CCI India) recognize the immense potential of India's tea sector in driving inclusive economic growth, enhancing global competitiveness, and creating opportunities across the entire value chain from tea growers and smallholders to processors, manufacturers, exporters, retailers, and tourism enterprises. Through policy advocacy, industry research, stakeholder engagement, business facilitation, trade promotion, capacity building, and international collaborations, CCI India remains committed to supporting the sustainable development and global positioning of the Indian tea industry.

The publication is intended to serve as a valuable resource for policymakers, tea growers, plantation owners, manufacturers, exporters, entrepreneurs, researchers, academic institutions, financial institutions, investors, industry associations, and other stakeholders engaged in the development of India's tea sector. By fostering informed dialogue, strategic partnerships, and collaborative action, this Knowledge Paper seeks to contribute to building a resilient, innovative, and globally competitive tea industry that continues to strengthen India's economic growth and international reputation.

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SECTION:1. INDIA'S TEA ECONOMY

Importance of Tea in India's Economy

Tea occupies a unique place in India's economic and cultural life. It forms one of the country's oldest organised agro-industrial sectors, linking remote hill and forest tracts to global consumer markets through an unbroken chain of cultivation, processing, branding and trade. India is the world's second-largest tea producer and among its top exporters. For millions of smallholders, plantation workers, traders and entrepreneurs, tea is not simply a crop; it is a livelihood, an identity and, increasingly, an instrument of rural transformation.

Beyond its commercial value, tea carries a soft-power dimension for India. Darjeeling tea is recognised the world over as a marker of Indian craftsmanship and terroir. As global consumption patterns shift toward provenance, sustainability and specialty products, India's tea sector is well placed to capture greater value, provided it can modernise its production base, strengthen its institutions, and tell its story more effectively to domestic and international consumers alike.

Contribution to GDP

Tea contributes a meaningful share of India's agricultural GDP and a disproportionately large share of agricultural exports relative to the land area under cultivation. India produced roughly 1,370 million kg of tea in recent crop years, translating into billions of rupees of export earnings and several times that in domestic retail value once processing, branding, packaging, hospitality and retail margins are considered. The multiplier effect of the sector is significant: every kilogram of green leaf that leaves an estate touches transport, warehousing, auction houses, processing units, blending and packaging facilities, marketing agencies, retail chains and, increasingly, café and tourism businesses before it reaches a final consumer.

As India's overall economy diversifies, the relative share of primary commodities like tea in national GDP has declined, but its importance to specific regional economies Assam, West Bengal's hill districts, the Nilgiris and others remains outsized. In these geographies, tea is often the single largest organised employer and the principal driver of local commerce.

Employment Generation

Few crops in India generate as much direct, formal employment per hectare as tea. The tea industry alone employs over a million workers directly on estates, with several million more engaged indirectly in transport, packaging, blending, retail and export logistics.

This scale of employment is precisely why the sector demands sustained policy attention: a downturn in tea prices does not merely affect a commodity market, it directly touches the incomes of some of India's most geographically remote and economically vulnerable communities.

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Role in Rural Livelihoods

Tea cultivation is fundamentally a rural, often hill and forest-fringe, activity. Plantations anchor entire local economies providing not just wages but housing, schooling, healthcare and community infrastructure in areas where the state's own reach is often thin. Smallholder tea growers, who now account for a large and growing share of national output, represent a parallel economy of family farms that supplement estate production and diversify rural income sources beyond staple agriculture.

Women Workforce

Tea plantations are among the largest formal employers of women in rural India, with women workers reported to account for well over half of the tea workforce, concentrated in plucking and quality-sorting operations that require skill and dexterity built over years of experience. This concentration of women's employment gives the sector a distinctive social role: wages earned on tea estates often represent primary or co-equal household income, and initiatives that improve women's working conditions, safety, skill certification and access to leadership roles in cooperatives and FPOs have an outsized impact on rural gender equity.

MSMEs and Plantation Economy

Alongside large integrated estates, India's tea landscape is increasingly shaped by small and medium enterprises bought-leaf factories, specialty packers and export houses that add processing capacity and market flexibility without owning large tracts of land. This MSME layer is critical to absorbing the output of small growers, who often lack their own processing infrastructure, and to injecting innovation, design and branding energy into a sector historically dominated by commodity trading.

Export Significance

India exported tea worth roughly Rs 8,500 crore in calendar year 2025 on record volumes of around 280 million kg, with the Middle East, CIS countries and, increasingly, China as major destinations. Tea remains among India's most consistent agricultural export earners, offering a hedge against volatility in other commodity categories and reinforcing India's position in the global beverage trade.

Emerging Domestic Consumption

Domestic consumption dwarfs' exports for tea, with roughly 80 percent of production consumed within the country. The continued vitality of India's chai culture spanning traditional retail, modern tea lounges and ready-to-drink formats remains one of the more stable long-term demand drivers for the sector, even as producers look to premiumisation and export diversification for incremental growth.

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Why the Tea Sector Matters to India

The sector's importance to India rests on four pillars: it sustains rural livelihoods at a scale few other cash crops match; it generates valuable foreign exchange; it anchors regional economies in ecologically sensitive hill regions where alternative livelihoods are limited; and it carries cultural and diplomatic significance disproportionate to its share of GDP. Any strategy for inclusive rural growth, women's economic empowerment or export diversification in India must reckon seriously with tea.

CCI India Perspective

For CCI India, opportunity lies in positioning India through targeted interventions in productivity, quality, branding, market access and tourism as a leading global source of premium, sustainably produced tea. This report sets out the landscape, the institutions, the challenges and the specific role CCI India can play in realising that ambition.

1.1. India's Tea Growing Regions

This profiles India's principal tea-growing states, covering geography and climate, tea varieties, production and employment, contribution to the local economy, tourism potential, key challenges, and recommended CCI India interventions for each region.

Assam

Assam is India's leading tea-producing state, contributing over 50% of the country's tea output. Its favorable climate and fertile valleys produce the world-famous strong, malty Assam tea, while the sector is a major source of employment and the backbone of the state's rural economy. Despite its strengths, the industry faces challenges such as ageing tea bushes, climate-related rainfall variability, rising labour costs, and low profit margins.

CCI India can play a significant role in strengthening Assam's tea sector by:

- Financing replantation of ageing tea bushes to improve long-term productivity and quality.
- Supporting factory modernisation through investments in energy-efficient machinery, automation, and better processing technology.
- Promoting wage-linked productivity programmes that improve worker welfare while increasing operational efficiency.
- Developing tea tourism by partnering with the state tourism board to create integrated tourism circuits featuring heritage tea estates, factory visits, and Brahmaputra river experiences.
- Facilitating value addition and market expansion by encouraging specialty and orthodox tea production, branding, and exports to improve price realisation.